

**Time:** 5 minutes**Outcome:** Distinguish Long-Run Industry Supply & Cost Conditions.**Difficulty:** ●●○ Intermediate

Long-Run Industry Supply & Cost Conditions



THE CORE IDEA

Long-run industry supply depends on input costs as firms enter or exit. In a constant-cost industry, expansion leaves input costs unchanged and long-run supply is horizontal. In an increasing-cost industry, expansion raises costs and supply slopes upward. In a decreasing-cost industry, expansion lowers costs and supply slopes downward.



HOW TO RECOGNIZE IT

- Track input costs as the entire industry expands, not just one firm.
- Unchanged, rising, or falling costs imply horizontal, upward, or downward long-run supply.
- The displayed upward curve represents an increasing-cost industry.

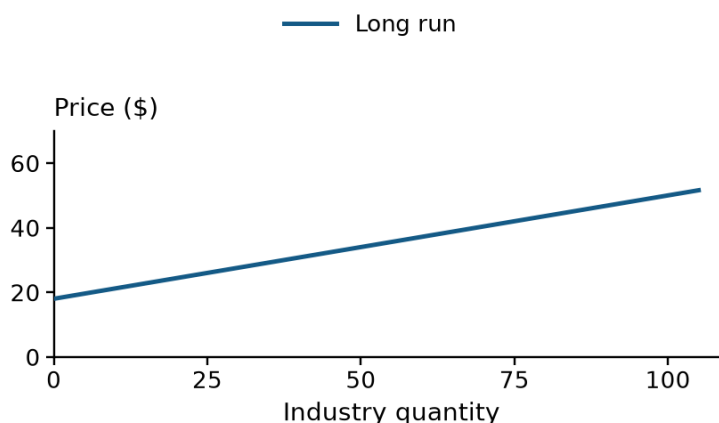


WATCH OUT

Do not confuse industry cost conditions. If expansion does not change input costs, the long-run equilibrium price can return to the original cost level.



WORKED EXAMPLE: READING LONG-RUN INDUSTRY SUPPLY



The long-run industry supply curve slopes upward, rising from roughly \$18 at very low output to above \$50 near 105 units. Industry expansion therefore raises the long-run equilibrium price. That pattern is consistent with an increasing-cost industry in which entry bids up specialized inputs or other production costs.



CHECK YOURSELF

If industry expansion leaves input prices unchanged, what shape does long-run industry supply take?

**READY?**

Return to the game and master this concept.